



Company Chanel
Management Control in the Chanel Industry



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1 Introduction

Chanel is a prestigious, privately-owned luxury brand that has stood the test of time, renowned for its expertise in fashion, fragrances, beauty, and luxury watches and fine jewellery. The organization operates in three primary divisions: Fashion, Fragrances & Beauty, and Watches & Fine Jewellery, with its global operations segmented by regions such as Europe, North America, and the Swiss Market. Chanel's main objective is to maintain its historical positioning as a leader in luxury while expanding both its revenue and product offerings, all while preserving its core values and heritage. The company's commitment to innovation and expansion is evident in its ability to balance growth with the preservation of its brand's exclusivity and loyalty.

The person interviewed is Imad Bouchibane, who holds the position of International Management Controller (FP&A) within the Watches and Fine Jewellery division at Chanel. In this role, he is responsible for managing budgets, preparing performance reports, and making data-driven decisions across multiple regions, including Switzerland, Mexico, Brazil, Panama, and India. His work at the intersection of the Watches & Fine Jewellery division and the Swiss Market region involves significant financial planning, sales analysis, and budget monitoring. We chose to interview Imad Bouchibane as he possesses a unique perspective on management control practices in a global luxury brand. His role offers valuable insights into how Chanel navigates the complexities of a rapidly evolving market while maintaining control and accountability in a high-stakes business environment.

2 Structure of Management Control

Chanel has a matrix structure combining product lines (Fashion, Fragrances & Beauty, Watches & Fine Jewellery) and regions. At the Geneva regional office, teams are split into departments such as marketing, finance, and operations.

1. Responsibility Structure:

- Chanel's Watches & Fine Jewellery division operates as a profit centre with responsibilities distributed across local controllers (e.g., boutique-specific like Geneva, Zurich) and regional controllers (multi-country oversight like Switzerland, Mexico, Brazil).

2. Delegation of Authority:

- Authority is delegated with a focus on autonomy and trust, allowing teams to manage tasks independently while being supported by controllers.

Tools Used:

- Power BI: Used for creating user-friendly, interactive dashboards for non-technical teams.
- TM1: Facilitates the consolidation of budgets from various teams.

- Anaplan: Provides a centralized and accessible repository for financial data. These tools are influenced by factors such as team training, the complexity of tasks, and data availability.
- Excel: For quick and flexible data analysis.

Application of Tools in the Explored Situation:

1. **Budget System:** Organized via TM1, consolidating inputs from all teams. Updated weekly for Switzerland and monthly for foreign markets.
2. **Performance Control:** Conducted weekly or monthly depending on markets. Managed by controllers who prepare reports for directors.
3. **Reporting:** Weekly reports for Switzerland; monthly for foreign regions. Prepared by controllers and reviewed by directors.
4. **Key Performance Indicators (KPIs):** Reviewed weekly/monthly, enabling timely adjustments, include MTD, YTD, budget utilization, and sales metrics. Indicators are reported to management for alignment.
5. **Other Tools:** GPT-based chatbot under development for secure, efficient internal workflows. Tools like Power BI and Anaplan streamline analysis and decision-making, used by both finance and operational teams.

In June 2024, Chanel observed low store traffic that impacted sales for the month. They identified the deficit and escalated the issue. An exceptional sale was arranged with a high-value client, which successfully closed a €600,000 deal, saving the month's performance.

3 Factors Influencing the Management Control

1. Empowering Teams to Excel

Chanel believes that when employees are entrusted with autonomy, they unlock their full potential. The company places great emphasis on allowing teams and individuals to take ownership of their roles, encouraging them to make decisions and take initiative. This empowerment fosters a sense of pride and commitment, motivating employees to contribute meaningfully to the brand's vision. By minimizing rigid hierarchical controls, Chanel creates a workplace where employees feel their expertise and creativity are valued.

2. Building Trust as a Foundational Value

Trust is not just a value at Chanel - it is a guiding principle. By cultivating trust across all levels of the organization, employees are assured that their contributions are respected, and their decisions are supported. This trust-based culture minimizes unnecessary micromanagement and instead promotes open communication and collaboration. Employees feel confident to share innovative ideas, take calculated risks, and approach challenges with a solutions-oriented mindset.

3. Focusing on Core Objectives

Chanel's culture ensures that employees and teams can dedicate their attention to the tasks that matter most. By providing a clear structure and well-defined objectives, the company reduces distractions and allows teams to channel their energy toward achieving impactful outcomes. This clarity not only enhances productivity but also ensures alignment with Chanel's broader strategic goals, reinforcing the brand's global reputation for excellence.

4. Supportive Leadership and Mentorship

At Chanel, leadership is viewed as a partnership rather than an authority figure imposing control. Managers and controllers play a crucial role as facilitators, providing the guidance, resources, and tools employees need to succeed. They act as mentors, offering strategic input and constructive feedback, while giving employees the freedom to make decisions independently. This balance between support and independence nurtures confidence and growth, ensuring employees can thrive professionally.

5. Creating a Culture of Innovation

Chanel understands that innovation is essential for staying relevant in a highly competitive industry. By fostering a culture that values creativity and originality, the company encourages employees to think beyond conventional boundaries. Bureaucratic constraints are minimized, allowing new ideas to flourish. Whether designing a revolutionary collection or enhancing operational processes, Chanel's commitment to innovation keeps it at the forefront of the luxury market.

6. Promoting Responsibility and Accountability

Autonomy at Chanel goes hand in hand with accountability. Employees are encouraged to take ownership of their projects and outcomes, instilling a strong sense of responsibility. This approach ensures that individuals and teams remain motivated to deliver high-quality results while upholding Chanel's standards of excellence. The culture of accountability also fosters mutual respect and collaboration, as employees recognize the importance of their roles within the larger organizational ecosystem.

7. Enhancing Employee Well-Being and Satisfaction

By promoting autonomy and trust, Chanel creates a work environment that prioritizes employee well-being. When individuals feel trusted and supported, they are more likely to experience job satisfaction and a sense of belonging. This positive culture translates into higher employee retention and a reputation as an employer of choice within the industry.

8. Aligning Culture with Legacy

Chanel's culture reflects its long-standing legacy of innovation, elegance, and timeless style. The company's commitment to nurturing creativity and empowering its workforce ensures that its values remain consistent with its brand identity. This alignment strengthens Chanel's position not only as a fashion icon but also as a forward-thinking organization poised for future success.

4. Conclusion

The management control systems at Chanel, specifically within the Watches & Fine Jewellery division, demonstrate a high degree of effectiveness in achieving organizational objectives. These systems align financial performance with strategic goals while fostering an environment of autonomy and accountability.

Effectiveness of Management Control: The use of advanced tools like Power BI, TM1, and Anaplan facilitates real-time data analysis, effective budgeting, and performance tracking. These tools empower decision-makers by providing clear, actionable insights, as evidenced by their role in reversing a sales deficit through proactive client engagement. However, challenges such as tailoring tools to diverse market needs and maintaining data accuracy indicate areas for continuous improvement.

Key Learnings: While the course offered a theoretical framework, this practical exploration highlighted the dynamic nature of management control. For instance, the integration of tools like GPT-based chatbots at Chanel is an innovative approach not emphasized in traditional studies. Additionally, the emphasis on contextualizing metrics with qualitative insights underscores the importance of adaptability in management control.

Usefulness for Aspiring Managers: For someone aiming to become a manager, management control is invaluable. It serves as a compass, ensuring alignment between team performance and organizational goals. It also helps in resource optimization, accountability, and fostering informed decision-making.

Skills for a Management Controller: An effective management controller needs a combination of technical and interpersonal skills:

- **Technical Expertise:** Proficiency in analytical tools, financial planning, and data visualization.
- **Communication:** Ability to translate complex data into actionable insights for diverse stakeholders.
- **Problem-Solving:** Skill in identifying issues and proposing innovative solutions.
- **Adaptability:** Capacity to respond to external changes, such as market trends or economic fluctuations.

In summary, management control is both a science and an art, requiring a balance of structured systems and human intuition. It is not merely a support function but a strategic partner in driving organizational success.

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Appendix

Interview transcript:

1. Could you start by telling us the name of your organization?

The organization is Chanel, specifically within the Watches and Fine Jewellery division.

2. Would you mind giving us a brief overview of your organization?

Chanel is a privately owned luxury company, not publicly traded, and owned equally by two brothers. The company operates in three main divisions: Fashion, Fragrances & Beauty, and Watches & Fine Jewellery. These divisions are structured geographically into regions such as Europe, North America, and Swiss Market. My role lies at the intersection of the Watches & Fine Jewellery division and the Swiss Market region.

3. What would you say are the main objectives of your organization?

Chanel's primary objective is to grow in both revenue and product range while upholding its luxury image, values, and heritage. Being one of the oldest luxury brands, it aims to innovate and expand without compromising its historical positioning and brand loyalty.

4. Can you describe your role and position within the organization?

I work as an International Management Controller (FP&A). My responsibilities include managing budgets and preparing performance reports for the Swiss Market (Switzerland, Mexico, Brazil, Panama, and India). I oversee financial planning, monitor budgets for different departments, analyse sales performance, and assist in making data-driven decisions.

5. How would you explain the organizational structure at your workplace?

Chanel has a matrix structure, organized by product lines (Fashion, Fragrances & Beauty, Watches & Fine Jewellery) and by regions. At the Geneva regional office, teams are split into departments such as marketing, finance, and operations. Each department has a manager who oversees specific regions and a team of employees and interns for support.

6. What does the management control structure look like? Could you describe how responsibilities are distributed?

Responsibilities are divided between local and regional teams. Local controllers focus on specific boutiques, such as Geneva and Zurich, while regional controllers oversee the performance of multiple countries, ensuring alignment with regional objectives.

7. How do you think your organization's culture influences the management control process?

Chanel's culture emphasizes autonomy and trust. This approach allows teams to focus on their primary tasks with support from controllers, fostering innovation and responsibility.

8. Which specific management control tools are used in your organization?

Chanel uses tools like Excel, Power BI (for data visualization), Anaplan (for sharing financial data), and TM1 (for budget management).

9. Could you share an example of a specific situation where one of these tools was applied, like in a responsibility centre or a particular activity?

In June, we observed low store traffic that impacted sales for the month. Using our tools, we identified the deficit and escalated the issue. An exceptional sale was arranged with a

high-value client, which successfully closed a €600,000 deal, saving the month's performance.

- 10.** How do these tools work in practice in those situations, and what factors influence their usage?

Power BI: Used for creating user-friendly, interactive dashboards for non-technical teams.

- TM1: Facilitates the consolidation of budgets from various teams.
 - Anaplan: Provides a centralized and accessible repository for financial data.
- These tools are influenced by factors such as team training, the complexity of tasks, and data availability.

- 11.** When are management control reports typically prepared, and who is responsible for preparing them?

Weekly reports are prepared for Switzerland, while monthly reports are prepared for foreign markets like Mexico, India, and Brazil. These reports are created by management controllers and shared with directors for review.

- 12.** In your opinion, how effective are these management control tools in helping the organization achieve its goals?

These tools enable granular analysis and real-time communication of results, allowing the organization to make timely adjustments and achieve financial and strategic goals.

- 13.** Could you share a success story where management control tools significantly improved the organization's performance?

During the summer, a decline in sales was identified in Geneva. By acting quickly and arranging a special client presentation, a high-value sale was secured, demonstrating the effectiveness of real-time data monitoring and decision-making.

- 14.** What challenges have you encountered when implementing management control systems?

Aligning the tools with specific team needs has been a challenge, as different markets require tailored approaches. Additionally, ensuring data accuracy across systems is a continuous effort.

- 15.** Which performance measurement tools does your organization use?

Performance is measured using KPIs such as Month-to-Date (MTD), Year-to-Date (YTD), and comparison against budget forecasts.

- 16.** What tools are used to measure staff performance, such as Key Performance Indicators (KPIs), and how often are they reviewed?

Staff performance KPIs are reviewed weekly for Switzerland and monthly for other markets. They include metrics like budget utilization and sales performance by product category.

- 17.** How does your team adapt to external changes, like shifts in market trends or economic conditions?

In 2024, global crises significantly impacted luxury markets. Budgets were revised quarterly, and travel expenses were cut. The team adapted by prioritizing digital communication and reallocating resources to more stable markets.

18. Have you experienced challenges in assigning accountability for results? How do you handle those situations?

Accountability often requires contextualizing numbers. For example, low sales might be due to external factors like reduced store traffic rather than team performance.

Collaboration with on-ground teams helps clarify these scenarios.

19. Has your organization adopted any innovative management control practices or tools recently?

Chanel is developing an internal version of a GPT-based chatbot to securely handle sensitive data. This tool aims to streamline workflows without compromising confidentiality.

20. What advice would you offer to someone designing a management control system for a new business?

- Use multiple data sources to ensure reliability.
- Cross-check data between systems to prevent errors.
- Contextualize metrics with qualitative insights from teams.
- Emphasize the role of controllers as support systems rather than enforcers.

21. How do you find the balance between maintaining control and giving your teams the freedom to work independently?

By positioning controllers as support roles, teams are encouraged to take ownership of their tasks. Regular feedback loops and transparent communication foster both autonomy and accountability.